

Down in Webster, Massachusetts, less than 70 miles southwest of CMGI's headquarters in Andover, sits the main office of Commerce Group, Inc. CGI was everything CMGI was not: Offering automobile insurance, mainly to drivers in Massachusetts, it was a cold stock in an old industry. Its shares lost 23% in 1999—although its net income, at \$89 million, ended up falling only 7% below 1998's level. CGI even paid a dividend of more than 4% (CMGI paid none). With a total market value of \$870 million, CGI stock was trading at less than 10 times what the company would earn for 1999.

And then, quite suddenly, everything went into reverse. CMGI's magical money merry-go-round screeched to a halt: Its dot-com stocks stopped rising in price, then went straight down. No longer able to sell them for a profit, CMGI had to take their loss in value as a hit to its earnings. The company lost \$1.4 billion in 2000, \$5.5 billion in 2001, and nearly \$500 million more in 2002. Its stock went from \$163.22 at the beginning of 2000 to 98 cents by year-end 2002—a loss of 99.4%. Boring old CGI, however, kept cranking out steady earnings, and its stock rose 8.5% in 2000, 43.6% in 2001, and 2.7% in 2002—a 60% cumulative gain.

Pair 6: Ball and Stryker

Between July 9 and July 23, 2002, Ball Corp.'s stock dropped from \$43.69 to \$33.48—a loss of 24% that left the company with a stock-market value of \$1.9 billion. Over the same two weeks, Stryker Corp.'s shares fell from \$49.55 to \$45.60, an 8% drop that left Stryker valued at a total of \$9 billion.

What had made these two companies worth so much less in so short a time? Stryker, which manufactures orthopedic implants and surgical equipment, issued only one press release during those two weeks. On July 16, Stryker announced that its sales grew 15% to \$734 million in the second quarter, while earnings jumped 31% to \$86 million. The stock rose 7% the next day, then rolled right back downhill.

Ball, the original maker of the famous "Ball Jars" used for canning fruits and vegetables, now makes metal and plastic packaging for industrial customers. Ball issued no press releases at all during those two weeks. On July 25, however, Ball reported that it had earned \$50 million on sales of \$1